

Order Flow Strategy

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74% Win Rate: Order Flow Strategy for \$2M+ Payouts

Summary of the video "74% Win Rate Trader Shares His EXACT OrderFlow Strategy (\$2M+ Payouts)" by Chart Fanatics.

A prop firm trader with \$1.5M in payouts shares his exact order flow system: four criteria (market-generated levels, volume profile, big trades, delta profile) create two models (range-bound and trending) that he uses to scalp 2-3 high-probability trades per day, risking 15-20 points to make 60+ points, with live examples showing 3-minute trades and consistent execution.

The Four Criteria: Foundation of Every Trade

Market-Generated Levels

Price respects previous day high/low, overnight high/low (9 PM–9:29 AM EST), and a 30-minute opening range breakout (ORB). These are the skeleton of support and resistance zones where order flow clusters and reactions occur.

Volume Profile: Value Areas and Low Volume Nodes

Volume profile shows where 70% of transactions occur (value area high/low) and where one side got aggressive, leaving gaps (low volume nodes). Value areas indicate fair price; low volume nodes signal trending moves and breakouts.

Big Trades Indicator

Filters orders above a threshold (75 lots for NQ, 200 for ES) to show where large institutional activity is happening. Requires tick data; platforms like Sierra Charts (Windows) or Moto Wave (Mac/Windows) are essential. Adjust thresholds during thin liquidity (e.g., tariff events).

Delta Profile: Absorption and Trapped Orders

Delta = ask transactions minus bid transactions. Absorption occurs when aggressive sellers hit the bid but price doesn't fall—a passive buyer is consuming orders, confirming support. Trapped buyers/sellers signal reversals when price stalls after momentum.

Two Models: Range vs. Trend

Model One: Range-Bound (Chop) Trading

When price trades inside value areas with no low volume nodes, use value area high/low as edges. Enter aggressively at the edge with tight stops (small size), add on confirmation (average up, not down), target the midpoint first, then the opposite edge. Move stop to break-even after first target hits to avoid red trades.

Model Two: Trending Market

When price breaks value and creates low volume nodes, buyers are aggressive and accepting higher prices. Enter on pullbacks into low volume nodes with big trades/absorption confirmation. Sell into breakout highs (where breakout traders enter) rather than chase. Trim 1-2 of 5 contracts at highs, move stop to break-even, trail remaining position watching for lower highs (exit signal).

Minimum Criteria: Two of Four Required

Not all four criteria must align for a valid trade. At least two confirmations (e.g., big trades + market-generated level, or delta + low volume node) create an area of interest. More alignments (3–4) create A+ setups with higher conviction.

Risk Management and Position Sizing

Aggressive Entry = Smaller Size

When entering at an aggressive level (before confirmation), use micro contracts or 1–2 contracts. Tight stop means you know quickly if wrong. Once confirmation arrives (e.g., rejection, absorption), add to the position (average up) and potentially move stop to break-even.

Never Let a Winner Go Red

Once a trade is profitable, immediately move stop to break-even after the first target. This rule prevents winning trades from reversing into losses, which is psychologically damaging and statistically avoidable in range-bound markets.

Risk-to-Reward Ratios

Aggressive entries typically target 3–4 R (risk 15 points, make 60+). Confirmation entries target 2 R. On trend days with limited pullbacks, accept tighter ratios (1.5–2 R) because waiting for deeper pullbacks wastes the move.

Live Trade Examples: Real Execution

Example 1: NQ Liquidation Trade (Pre-Market, Non-Farm Payroll)

Overnight low broke on liquidation (stops + new selling). Low volume node + big trades (300 lots) + negative delta + market-generated level (overnight low) = four criteria met (A+ setup). Entered short at 660s, risked 15 points, made 60+ points in 30 minutes. Zero draw-down; exited at value low.

Example 2: ES Range Trade (Afternoon Session, Model One)

Price consolidated above opening price with absorption (positive delta, no movement). Swept overnight high, then reversed. Huge offer (700 lots) + absorption + overnight high = sellers defending. Entered short at 65s on break-below, risked 13 points, targeted midpoint and range low. Caught full rotation in ~10 minutes.

Example 3: NQ Trap and Squeeze (Range-Bound Day)

Price wicked above overnight high, trapping buyers. Big trades (250–350 lots) at highs, then negative delta on reversal. Entered short at highs, risked 15 points, made 50 points. Scalped the same setup 5+ times that day across multiple retests of value area high.

Example 4: Live Stream Trade (Look-Below-and-Fail, Model One)

ES formed range, broke below, then reclaimed support as higher low. Entered long at 45 on break-above with 3 contracts, stop at 41. Saw big trades coming in, price squeezed up. Exited at 62 with zero draw-down in 3 minutes. Demonstrates patience waiting for structure and aggressive execution on confirmation.

Trading Discipline and Mindset

Only Trade First 1–3 Hours

Majority of daily profit and highest win rate occur in the first 1–3 hours post-open. After that, liquidity thins, volatility drops, and setups become less reliable. Trader limits himself to 2–3 trades per day and walks away once they're complete.

Never Trade Against Momentum

If price is aggressively moving up or down without pullback, do not enter. Wait for it to slow, consolidate, or show rejection. Chasing momentum leads to poor risk-reward and emotional losses. Patience is the edge.

Accept Your Risk Before the Day Starts

Know your maximum daily loss and position size before market open. This mental preparation prevents panic, over-trading, and revenge trading. Trader accepts losses as part of the game and moves on to the next setup.

Execution Speed and Mental Clarity

Setups happen in 10 minutes or less. You must be well-rested, calm, and focused to react in real-time. Delayed decisions cause missed entries. Trader emphasizes the importance of headspace, sleep, and mental state as critical to performance.

Adapt to Market Conditions

Markets change constantly (volatility, liquidity, trends vs. chop). Having models for every environment (range, trend, thin liquidity) allows consistent trading. Small tweaks to risk-to-reward or position size based on volatility are normal and necessary.

Key Metrics and Results

Trader's Track Record

Over \$1.5 million in prop firm payouts lifetime. Last month: \$194,000–\$196,000 net payouts. January 15 (day 13 of trading): \$100,000 in payouts across 5 accounts (80% split = \$24,000 from \$30,000 gross). Demonstrates consistency and scalability.

Win Rate and Trade Frequency

Trader reports 74% win rate. Takes only 2–3 trades per day, focusing on high-probability setups. This low-frequency, high-conviction approach reduces emotional stress and maximizes risk-to-reward.

Average Trade Duration

Most trades last 3–30 minutes. Scalping mentality prioritizes quick, high-probability moves over holding for larger swings. This fits the prop firm model (limited draw-down, need to secure payouts quickly).

Tools and Platforms

Order Flow Platforms Required

Trading View lacks tick data and is unsuitable for order flow. Sierra Charts (Windows only) and Moto Wave (Mac/Windows) are industry standards. Both allow customization of big trade filters, delta profiles, and volume profiles. Tick data is non-negotiable.

Time Frames: 2-Minute (NQ) and 3-Minute (ES)

These time frames filter noise while preserving structure (higher lows, higher highs). Trader does not wait for candle closes; he reads structure in real-time. One-minute charts are too noisy; longer frames miss quick scalps.

DOM (Depth of Market) for Execution Speed

Trader watches DOM to gauge order flow speed and avoid entering into momentum. If orders are moving fast, he waits for slowdown. DOM also shows session delta (cumulative ask vs. bid transactions) to confirm absorption.

Common Mistakes and Misconceptions

Averaging Down (Wrong) vs. Averaging Up (Right)

Most traders add to losing positions (averaging down), which increases risk. Correct approach: add to winning positions (average up) after confirmation. This scales size on high-probability moves and is how big money is made.

Trading the Middle (Chop)

Chop in the middle of ranges has poor risk-to-reward and high whipsaw risk. Trade only the edges (value area high/low) or wait for low volume nodes. This single rule eliminates most losing trades.

Chasing Breakouts

Breakout traders enter at highs/lows with poor risk-to-reward. Instead, sell into breakouts (where they enter) or wait for look-below-and-fail patterns. This reverses the risk and captures trapped traders.

Overcomplicating the System

Traders often add too many indicators or rules, slowing decision-making. The four criteria are simple and sufficient. Confirmation comes from experience and back-testing, not more tools.

ICT Traders Lack Order Flow

ICT (Inner Circle Trader) concepts focus on price action and structure but miss real-time order flow. Without seeing big trades, absorption, and delta, traders guess at support/resistance instead of confirming it with actual market activity.

Notable quotes

You risk 15 points, you're making 60 plus. I'm done 30 minutes. I made more than what I was making at my job. — Trader (Yosh)

A lot of traders average down. You should be averaging up, adding to a winning position. That's how you catch the big moves. — Trader (Yosh)

I can see where value is forming and position myself according to that. This is a big part of my edge. — Trader (Yosh)

Action items

Back-test the four criteria (market-generated levels, volume profile, big trades, delta profile) on past price action to train your eye for setups.

Set up an order flow platform (Sierra Charts or Moto Wave) with tick data and configure big trade filters (75 lots for NQ, 200 for ES).

Practice identifying absorption patterns and trapped buyers/sellers on 2-minute (NQ) and 3-minute (ES) charts during the first 1–3 hours of the session.

Create a pre-market plan: identify key levels (overnight high/low, value area, ORB), define two scenarios (range vs. trend), and set risk parameters before market open.

Trade only 2–3 setups per day; if you don't see them, sit on your hands. Never trade the middle of ranges or chase momentum.

Move stop to break-even after first target hits; never let a winning trade go red.

Journal every trade with screenshots and delta/big trade data to reverse-engineer your edge and build confidence in your confirmation rules.

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